THEMIS
PROFESSIONAL SERVICES
FRACTIONAL CFO & NON-EXECUTIVE ADVISORY

BOARD REPORTING A BUYER WILL TRUST

Diligence doesn't begin at the data room. It begins with twenty-four months of board packs — and how they were produced.

THE PACK, THE CHALLENGE, THE GAPS

01 THE MONTHLY PACK

- **One summary page first.** Revenue, gross margin, EBITDA, cash, net debt and order book — actual, budget and prior year.
- **P&L, balance sheet and cash flow together.** A P&L alone says nothing about working capital.
- **Ten working days, every month.** Timeliness is itself evidence of control.
- **Written commentary, owned by a named person.** Variances explained — not a spreadsheet dump.
- **A KPI page.** The six operational numbers that drive the financial ones.

WHY IT MATTERS

A buyer reads two years of packs in sequence. Consistency of format is being tested as hard as the content.

02 THE NUMBERS THAT GET CHALLENGED

- **Gross margin by customer, product and site** — not one blended percentage.
- **Normalised EBITDA and every add-back,** with the evidence sitting beside it.
- **Stock and WIP.** Valuation method, provision policy, ageing profile.
- **Revenue recognition and cut-off,** particularly on contract and project work.
- **Accruals, deferred income and rebates** — anything resting on a judgement.
- **Cash conversion.** EBITDA to cash, explained rather than assumed.

WHY IT MATTERS

Diligence tests whether your numbers behave the same way when somebody else cuts them.

03 WHERE THE GAPS USUALLY ARE

- **Management accounts that don't bridge** to the filed accounts, with no reconciliation on file.
- **A balance sheet reviewed annually,** reconciliations left to the auditor to find.
- **No budget — or one abandoned by month four.**
- **A forecast that is a re-typed budget,** rather than a rolling view of what will actually happen.
- **Numbers that change after issue** with no record of why or by whom.
- **KPIs that measure activity,** not money.

WHY IT MATTERS

Every one of these is fixable in a quarter. None of them are fixable once diligence has started.

AI AND JUDGEMENT — GETTING THE BALANCE RIGHT

WHAT THE TOOLS DO WELL
USE THEM, AND USE THEM PROPERLY

- Reconciliation, coding and matching at volume, without fatigue or drift
- Anomaly detection across the ledger — duplicates, outliers, missing postings
- Drafting first-pass variance commentary straight from the data
- Consolidation, data preparation and building the pack itself
- Answering “what is inside this number” in seconds rather than days

WHAT STILL NEEDS A QUALIFIED FINANCE MIND
THIS IS WHAT A BUYER IS BUYING

- Deciding what is material and what is noise
- Judgement calls — provisions, valuation, recognition, add-backs
- Knowing which variance the board actually needs to act on
- Owning the number in front of a buyer, an auditor or a lender
- The “should we actually do this deal” call

Automate the preparation. Never automate the judgement.

A buyer will ask who signed the number — and “the model” is not an answer.

IF THE PACK DOESN'T CONVINCE YOUR BOARD, IT WILL NOT CONVINCE A BUYER.

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